

1. What are the main functions of a central bank?

- a) Promote stability of financial system
- b) Hold and manage official reserves
- c) Supervise and regulate banks
- d) All of the above

2. What is the Pillar 3 in the Basel III regulation?

- a) supervisory review
- b) market discipline
- c) minimum capital requirements
- d) liquidity regulation

3. What are the main functions of money?

- a) Medium of exchange; monetary aggregate; store of value; and standard of deferred payment.
- b) Medium of exchange; unit of account; store of value; and mean of lending and borrowing.
- c) Medium of exchange; unit of account; store of value; and standard of deferred payment.
- d) None of the above lists is complete.

4. What are the most important indirect monetary policy tools?

- a) open market operations, standing facilities, reserve requirements, and interest rate changes
- b) open market operations, discount window, and reserve requirements
- c) open market operations, discount window, reserve requirements, and interest rate changes
- d) open market operations, standing facilities, reserve requirements, and ceilings on the growth of bank deposits and loans

8. Which of the following is considered low risk-weighted (20%) in the RAR approach

- a) OECD government bonds
- b) loans to other banks
- c) mortgage loans to owner-occupiers
- d) commercial loans

5. Consider the following table, which includes the consolidated balance sheet of the Eurosystem (Dec 2021).

Consolidated balance sheet of the Eurosystem as at 31 December 2021					
Assets (EUR mln)		31 Dec 2021	31 Dec 2020	Liabilities (EUR mln)	
1	Gold and gold receivables	559 373	536 542	1	Banknotes in circulation
2	Claims on non-euro area residents denominated in foreign currency	500 191	347 172	2	Liabilities to euro area credit institutions related to monetary policy operations denominated in euro
3	Claims on euro area residents denominated in foreign currency	24 529	23 437	3	Other liabilities to euro area credit institutions denominated in euro
4	Claims on non-euro area residents denominated in euro	12 983	14 336	4	Debt certificates issued
5	Lending to euro area credit institutions related to monetary policy operations denominated in euro	2 201 882	1 793 194	5	Liabilities to euro area residents denominated in euro
6	Other claims on euro area credit institutions denominated in euro	26 627	25 473	6	Liabilities to non-euro area residents denominated in euro
7	Securities of euro area residents denominated in euro	4 886 410	3 890 770	7	Liabilities to euro area residents denominated in foreign currency
8	General government debt denominated in euro	22 168	22 676	8	Liabilities to non-euro area residents denominated in foreign currency
9	Other assets	330 198	324 056	9	Counterpart of special drawing rights allocated by the IMF
				10	Other liabilities
				11	Revaluation accounts
				12	Capital and reserves
Total assets		8 564 361	6 977 656	Total liabilities	

Calculate the narrowest monetary stock (M0) based on the table.

- a) EUR 1,544,387 mln
- b) EUR 5,914,999 mln
- c) EUR 5,838,325 mln
- d) EUR 985,014 mln

6. Where do you see the effect of the 'discount window' as an indirect monetary policy tool in the above BS?

- a) On liabilities side: Liabilities to euro area credit institutions related to monetary policy operations
- b) On liabilities side: Banknotes in circulation
- c) On assets side: General government debt
- d) On assets side: Lending to euro area credit institutions related to monetary policy operations

7. Consider the difference of the two years stated on the balance sheet above. What is the net result of the ECB OMOs?

- a) Since the 'Securities of euro area residents denominated in euro' increased in the BS, the ECB purchased government debt in order to inject money into the system.
- b) Since the 'Securities of euro area residents denominated in euro' decreased in the BS, the ECB purchased government debt in order to inject money into the system.
- c) Since the 'Securities of euro area residents denominated in euro' increased in the BS, the ECB sold government debt in order to take out money from the system.
- d) Since the 'Securities of euro area residents denominated in euro' decreased in the BS, the ECB sold government debt in order to take out money from the system.

9. Tier 1 (core capital) includes

- a) ordinary paid-up share capital/common stock
- b) disclosed reserves
- c) both answers
- d) none of the answers

10. What is the current ECB interest rate (on main refinancing operations)?

- A) 3.50%
- B) 4.0%
- C) 4.5%
- D) None of the above rates.

11. Financial intermediaries help minimise the costs associated with direct lending, particularly

- a) costs derived from information asymmetries
- b) transaction costs
- c) both answers
- d) none of the answers

12. What is the purpose of using a diversification strategy in credit risk management?

- a) To decrease unsystematic or firm-specific credit risk
- b) To increase the mean return on the bank's asset portfolio
- c) To increase the probability of bad outcomes in the portfolio
- d) To increase the concentration of loans in geographic areas or sectors

13. What is the difference between fixed rate assets and liabilities and rate-sensitive assets and liabilities?

- a) Fixed rate assets and liabilities carry rates that are constant throughout a certain period, while rate-sensitive assets and liabilities can be re-priced within a certain period.
- b) Fixed rate assets and liabilities carry rates that change with the market interest rates, while rate-sensitive assets and liabilities carry fixed rates.
- c) Fixed rate assets and liabilities generate explicit income, while rate-sensitive assets and liabilities generate no explicit income.
- d) Fixed rate assets and liabilities pay interest, while rate-sensitive assets and liabilities pay no interest.

14. What is the difference between day-to-day liquidity risk and a liquidity crisis?

- a) Day-to-day liquidity risk is due to unexpected needs for cash, while a liquidity crisis is usually predictable.
- b) Day-to-day liquidity risk is usually unpredictable, while a liquidity crisis is predictable.
- c) Day-to-day liquidity risk relates to daily withdrawals, while a liquidity crisis occurs when depositors demand larger withdrawals than normal.
- d) Day-to-day liquidity risk occurs when a bank experiences a temporary liquidity problem, while a liquidity crisis occurs when the bank is unable to meet its liabilities.

15. If the reserve ratio is 10%, how much is the theoretical maximum of deposits that can be created following the injection of 500 EUR.

- a) 500
- b) 4500
- c) 550
- d) 5000

16. Which of the following statements is correct regarding liquidity risk?

- a) Liquidity risk is generated in the balance sheet by a mismatch between the size and maturity of assets and liabilities.
- b) Liquidity risk arises only when a bank does not hold enough liquid assets on its balance sheet.
- c) Liquidity risk is limited to the interbank market.
- d) Liquidity risk is not a concern for banks as it is relatively easy for banks to cover any shortage of cash by borrowing funds from other banks.

17. What is interest rate risk?

- a) The risk associated with unexpected changes in market interest rates
- b) The risk associated with investing in stocks
- c) The risk associated with lending money to borrowers with a low credit score
- d) The risk associated with investing in long-term bonds

18. Which of the following is an example of an operational risk event type according to the Basel Committee?

- a) Changes in market prices that lead to losses.
- b) Credit defaults by borrowers that lead to losses.
- c) Data entry errors that result in losses.
- d) Interest rate fluctuations that result in losses.

19. Which of the following indicators is NOT used to measure market risk in banking?

- a) Book value assets/estimated market value of assets.
- b) Book value of equity capital/market value of equity capital.
- c) Market value of bonds and other fixed-income assets/book value of bonds and other fixed-income assets.
- d) Dividend yield of common and preferred stock.

20. Which of the following features does NOT relate to the private banking markets

- a) long-term relationship orientation
- b) client segmentation
- c) personal contact
- d) none of the answers